

DECENTRALIZED MASTERS

MARKET UPDATE

Weekly Research Briefing

August 3, 2026

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Decentralized Masters

FOMC 9-3

MSFT VALIDATES AI

KOSPI +17.9%

COLDCARD \$89-110M

FOMC Outcome

Hold 9-3

3 dissenters wanted hike

Sept Hike Odds

~57%

Up from 35% a month ago

30-yr Treasury

5.19%

Highest since 2007

KOSPI Jul 31

+17.91%

Largest 1-day gain ever

FOMC: Most Divided Fed Since 2016 —

Warsh Confuses Markets:

Held 9-3 but three dissenters wanted hike. Press conference 'internally contradictory' per AllianceBernstein. Dow fell 1,153 pts. 30-yr yield hit 2007 high. September hike ~57%.

AI Earnings Split: MSFT + AMZN Validate,

META + AAPL Miss:

Azure 43% growth (beat 40%), crossed \$100B annual — stock +15%. Amazon AWS strong +8-10%. Meta FCF \$784M (from \$8.5B); capex \$31.1B ≈ all operating CF, -9.6%. Apple supply guidance miss, -7%.

KOSPI +17.91% on July 31 — Largest

Single-Day Gain in History:

SK Hynix + Samsung exploded as Trump deescalated on Iran and MSFT proved AI chip demand is real. Shows depth of fear priced in — and how fast it reverses.

Coldcard Firmware Hack: \$89-110M in

BTC Drained — Still Ongoing:

5-year-old firmware flaw (2021) allowed offline private key reconstruction. Three attack waves July 30-Aug 3: 1,367-1,755 BTC, 4,585-5,000 wallets. Patched firmware released Aug 1.

FOMC JULY 29: 9-3 HOLD — THE FED IS DIVIDED

VOTE: 9-3 HOLD

9 Members

HOLD at 3.5%-3.75%

Lorie Logan

Dallas Fed — HIKE

Beth Hammack

Cleveland Fed — HIKE

Neel Kashkari

Minneapolis Fed — HIKE

Most dissents since September 2016

Warsh: 'I asked for a good family fight and I got one'

WARSH'S PRESS CONFERENCE

- Called June CPI (-0.4% MoM, 3.5% YoY) 'not much' of a consideration
- Affirmed inflation 'elevated' despite the best print in 6 years
- Statement nearly identical to June — no new information
- Press conference described as 'confusing and internally contradictory' (AllianceBernstein)
- Markets reacted by LOWERING near-term hike odds BUT RAISING long-end yields
- 30-year Treasury hit highest since 2007 — yield curve steepened

MARKET REACTION — WEDNESDAY JULY 29

Dow Jones

-1,153 pts

30-yr Yield

2007 High (5.19%)

Sept Hike

~57% prob.

Near-term hike

LOWERED

THE YIELD CURVE SIGNAL:

Short-term yields fell (near-term hike odds lower). Long-term yields rose (structural inflation priced in for years). This is the curve steepening that markets price when they believe the Fed is behind the curve — not just delaying a hike, but potentially making a policy error that allows inflation to become entrenched.

AI EARNINGS VERDICT: SPLIT — BUT MSFT IS THE SIGNAL

Microsoft

MSFT

+15%

Azure 43% (beat 40%). \$100B annual revenue milestone. Copilot 30M paid seats. Q1 FY27 guided at 45%.

Amazon

AMZN

+8-10%

AWS AI workloads strong. Operating leverage improving. Enterprise AI ROI materializing.

Meta

META

-9.6%

Rev beat but FCF: \$784M (was \$8.5B). Capex \$31.1B ≈ operating CF. FY capex \$130-145B.

Apple

AAPL

-7%

Revenue beat but current-quarter guidance miss due to supply constraints. AI device cycle delayed?

WHAT THE SPLIT VERDICT MEANS

- MSFT Azure +43% with \$100B annual revenue CONFIRMS the AI capex-to-revenue conversion is real. Demand exceeds Azure capacity. Copilot is past trial mode at 30M paid seats.
- META is spending all of its operating cash flow on infrastructure and has nothing left for shareholders. \$130-145B capex FY guidance is unprecedented. FCF went from \$8.5B to \$784M.
- The AI revenue story exists — it just requires execution quality to convert spend into profit. Microsoft has it. Meta doesn't have it yet. That's the lesson from earnings season.

Also: Intel rev \$16.1B (+25%, beat \$14.4B). EPS \$0.42 (doubled). DC&AI +59%. AH +12-13%, then closed -7.89% as capex raised to >\$20B. Same pattern as all others.

KOSPI +17.91% + IRAN PAUSE CYCLE REPEATS

KOSPI JULY 31 — LARGEST SINGLE-DAY GAIN IN HISTORY

+17.91%

6,595.45 close | Previous: ~5,594

- SK Hynix and Samsung led — South Korean chipmakers had been hammered all July
- Catalyst 1: Trump deescalated on Iran July 30 — threat of 'massive attack' withdrawn
- Catalyst 2: Microsoft Azure 43% confirmed AI chip demand is real and accelerating
- KOSPI had fallen over 25% from its June peak — this was a compression release
- KOSDAQ also surged: +11.63% on the same day
- Shows: fear-of-Iran + AI-capex-doubt had been brutally overpriced into Korean stocks

IRAN: SECOND PAUSE CYCLE

Pause #1

Jul 27

\$84-90

Trump pauses strikes; Iran confirms; markets risk-on

Re-escalation

Jul 28-31

\$87-102

Hostilities resume; Houthis hit Red Sea; KOSPI -25%

Pause #2

Aug 2

Lower today

Trump steps back again; no formal deal; Houthis still active

July close

Jul 31

\$87.93 Brent

July oil range: \$72-102. July CPI (mid-Aug) reflects this

⚠ KEY PROBLEM: July CPI (mid-August) will reflect \$72-102 Brent during July. June CPI energy relief was a one-month snapshot. July oil prices re-accelerate inflation data. September hike at 57%.

THIS WEEK + AHEAD: NFP FRIDAY, CLARITY ACT DEADLINE, JACKSON HOLE

MON
Aug 3

Iran pause in market
Coldcard hack ongoing
BTC ~\$62,643

TUE
Aug 4

Coinbase (COIN)
Q2 Earnings (AH)

ISM Services
Index

WED
Aug 5

CLARITY ACT:
Cloture deadline
(practical)

Trade balance +
secondary data

THU
Aug 6

Jobless Claims

Secondary data

FRI
Aug 7

★★★★ July NFP
(8:30am)

★★★★ CLARITY ACT
Senate Recess

★★★★ FRIDAY NFP — JULY JOBS

Hot print (150K+, wages):

Sept hike to 70%+; BTC to \$59-60K

Soft print (sub-100K):

Sept hike to 40%; BTC recovers \$65K

LOOKING AHEAD — KEY UPCOMING EVENTS

Mid-August:

July CPI: reflects \$72-102 Brent → re-acceleration

Sep 16-17:

FOMC: September hike at ~57% currently

Aug 27-29:

Jackson Hole: 'Financial Innovation' theme — crypto relevance

CRYPTO OVERVIEW — HOLDING DESPITE THE COLDCARD HACK

August 3,
2026

Bitcoin (BTC)

\$62,643

~\$1.31T Mkt Cap

-1.7% wk

Ethereum (ETH)

~\$1,840

Opened \$1,883, pulled back

-2.2% wk

Fear & Greed

27

Fear territory

from 51 (Neutral)

July Close

\$63,700

Best monthly return (+7%)

Since cycle started

THE STORY BEHIND THE NUMBERS

- BTC +7% in July was the best monthly return since the current cycle began. Then August opened with a \$89-110M hardware wallet hack. Down ~1.7% from the July close — resilient given the magnitude.
- ETH opened at \$1,883 this morning (+2.2% vs Sunday) then reversed to \$1,840. The Iran pause bid faded quickly. The Coldcard story is the specific crypto headwind today.
- Fear & Greed at 27 (Fear) vs. 51 (Neutral) last week. The hack knocked sentiment back. The FOMC confusion and elevated September hike odds are the macro weights.
- CLARITY Act odds fell to 30-38% from 43-48% — legislative window closing fast. Jackson Hole Aug 27-29 could be the next major policy catalyst for crypto.

COLDCARD FIRMWARE EXPLOIT: \$89-110M DRAINED — WHAT IT MEANS

THREE ATTACK WAVES

Wave 1 — Jul 30

594 BTC

~\$38M

Drained in under 30 min; dormant addresses

Wave 2 — Jul 31-Aug 1

1,158 BTC

~\$75M

Galaxy Research tracking; second attacker or same?

Wave 3 — Aug 2

1,367 BTC

~\$89M

Smaller balances; more complex transaction patterns

By Mon Aug 3 (Bloomberg)

~1,755 BTC

~\$110M

Still evolving; fixed firmware released Aug 1

THE VULNERABILITY EXPLAINED

Affected

Coldcard Mk3, firmware 4.0.1-4.1.9 (March 2021)

The flaw

Software RNG used instead of hardware RNG for key generation

How exploited

Private keys mathematically reconstructed using device serial numbers — no physical device needed

Who is at risk

Anyone who generated their seed phrase on an affected Coldcard before the 2021 firmware fix

Fix

Patched firmware released Aug 1. Update immediately. Move funds from potentially compromised wallets

Not at risk

Bitcoin itself is secure. This is a hardware wallet vendor implementation flaw, not a protocol issue

ON-CHAIN READ: HOLDERS MIGRATING, NOT PANIC SELLING

CryptoQuant: BTC sending addresses spiked to early-2024 levels on Friday. Exchange reserves rose from 2.706M to 2.718M BTC — a 12K BTC increase (modest). Glassnode: holders are moving coins to NEW wallets after learning their Coldcard may be compromised — not selling. BTC has held relatively flat despite the hack magnitude. The market is treating this as a wallet migration event, not a sell event.

KEY PRICE LEVELS

50-month EMA: ~\$65,600

Overhead resistance — held multiple times

200-day MA: ~\$65,200

Clustered resistance zone above current price

Current Price: \$62,643

July closed \$63,700; slightly below on Coldcard/FOMC

Support 1: \$60,000

Psychological round number; key defense

Support 2: \$59,023

June 25 flush low — structural floor

NFP Soft → Target: \$65K+

Sub-100K print → rate hike odds fall → BTC recovery

CLARITY ACT — 4 DAYS

- Aug 7 recess = hard deadline: No cloture filed yet; ~30-38% odds
- Updated bill (Jul 22): Ethics ban on officials issuing crypto — lost some Dem votes
- If passes before Aug 7: Institutional capital unlocked; regulatory certainty
- If fails: Year-end rider or 2027 election-year — much harder path

JACKSON HOLE — AUG 27-29

- Theme: 'Financial Innovation: Implications for Payments and Policy'
- Warsh could directly address digital assets, CBDCs, or crypto regulation
- First time Jackson Hole could move Bitcoin on policy content, not just rates
- Historically Warsh uses Symposium to signal major policy shifts

ETH + ETF CONTEXT:

ETH ~\$1,840 — July closed best month since current cycle began. 3+ weeks of net positive BTC ETF flows continued through July. Coldcard hack caused spike in sending addresses but Glassnode says wallet migration, not exchange selling. BTC ETF AUM >\$79B still.

01

NFP Friday — August 7

Last Major Data Before Jackson Hole

- Soft (sub-100K): Sept hike odds fall → BTC recovers toward \$65K; dollar weakens; CLARITY Act could pass same day as positive setup.
- Hot (150K+, wages): Sept hike to 65-70%; DXY up; BTC risks \$59-60K re-test; Coldcard + hot jobs = rough week.
- July NFP is particularly important: June was 57K (terrible miss). Does that weakness persist or was June seasonal?

02

CLARITY Act — Aug 7 Deadline

30-38% Odds — 4 Days Left

- Watch for Thune floor announcement by Wednesday — cloture filing = Thune has 60 votes = passes.
- Fails: year-end rider or 2027 election-year (much harder). Institutional capital stays sidelined for months.
- The updated bill (Jul 22 ethics provisions) may have cost exactly the Democratic votes needed for the 60-vote threshold.

03

September Setup + Jackson Hole

The Month's Defining Sequence

- September hike at ~57%. July CPI (mid-August) is the decisive data — oil \$72-102 in July means re-acceleration.
- Jackson Hole Aug 27-29: 'Financial Innovation + Payments + Policy' theme. Warsh could address crypto directly — a first.
Worst case: July CPI hot + Warsh hawkish at Jackson Hole = September hike locks in, BTC to \$58-60K.
Best case: oil continues to ease + Warsh dovish/neutral = rate hike fears fade, BTC to \$68-70K.